CRED — The UPI Growth Story

Decision Memo

To: CRED Strategy Team

From: Team INSIGHT CLUB — Himshikhar 2026, IIT Mandi

Re: Is UPI growth broadening across apps, or concentrating into a duopoly?

The Question

Everyone in Indian fintech keeps arguing the same thing - is UPI growth spreading out across more apps, or is it becoming a two-player race between PhonePe and Google Pay. NPCI publishes the monthly numbers but almost nobody actually sits down with them. We did, using 24 months of data (Mar 2024 - Feb 2026), and checked with evidence instead of guessing.

What We Did

We loaded the monthly app-wise UPI data into a proper two-table SQL setup, wrote queries to track market share, month-on-month growth, rankings and a concentration index over time, cleaned up two real data issues we found along the way (details below), and built a regression model to project where total volume is headed over the next quarter.

What We Found

- **The market is broadening, not concentrating.** PhonePe + Google Pay's combined share fell from 85.9% to 80.4% over the 24 months. Our concentration index (HHI) fell about 11.5% over the same period, and it kept falling almost every single month, not just once.
- The share that PhonePe and Google Pay lost didn't go to one big challenger - it spread out. The "everyone else" bucket of apps more than doubled its combined share, from about 5.0% to 11.6%. Navi and super.money picked up most of that.
- Volume itself keeps growing. Averaged in 3-month blocks (which fits the trend noticeably better than looking month to month), volume is growing by roughly 1,124 million transactions every quarter, and this should continue for at least the next few months based on the trend.
- October shows a real, repeat spike every year (festive season, most likely) - but November doesn't. So the usual "festive season means Oct-Nov both spike" assumption isn't fully correct here.

What This Means for CRED

Since the two giants are slowly losing ground, and that share isn't going to one new giant, there is real room for a smaller or newer player to pick up share if it plays it right - this is not a closed market anymore. But this window may not stay open forever: NPCI's proposed 30% market-share cap on individual apps is currently set to take effect by end of 2026. If it actually gets enforced, PhonePe and Google Pay would have to stop onboarding new users, which would likely speed up this broadening trend even further.

Limitations

Two real problems turned up in the data itself, not just in the numbers: July-Aug 2025 volumes were showing almost double what they should, traced to what looks like a copy-paste error in the source file (fixed once we traced the exact cause), and 36 app names turned out to be the same app listed under a slightly different spelling (also fixed). On the modeling side, our forecast is decent but not perfect - a real dip in Feb 2026 volume (partly explained by that month simply having fewer days) is something a straight growth line can't fully capture, so the forecast should be read as a solid estimate, not a guarantee.